

84 CIC Consolidated Crown Investments Corporation of Saskatchewan Notes to Consolidated Financial Statements March 31, 2019 47 4. Significant accounting policies The accounting policies set out below have been applied consistently to all periods presented in these consolidated financial statements. The accounting policies have been consistently applied by CIC's subsidiaries.

a) Basis of consolidation Subsidiaries Saskatchewan provincial Crown corporations are either designated as subsidiary Crown corporations of CIC or created as CIC Crown corporations under The Crown Corporations Act, 1993 (the Act). The Act assigns specific financial and other responsibilities regarding these corporations to CIC. In addition to the Crown corporations listed below, the Corporation also consolidates the accounts of Gradworks Inc., a wholly-owned non-profit subsidiary, and the following wholly-owned share capital subsidiaries: CIC Asset Management Inc.; First Nations and Métis Fund Inc.; CIC Economic Holdco Ltd.; and Saskatchewan Immigrant Investor Fund Inc. (SIIF), all of which are domiciled in Canada. As at March 31, 2018, Gradworks Inc. was dissolved. Separate audited financial statements for CIC have been prepared to show the financial position and results of operations of the corporate entity. In addition, audited financial statements for each of the undernoted Crown corporations, which are consolidated in these financial statements, are prepared and released publicly:

Wholly-owned subsidiaries domiciled in Canada

Principal Activity

SaskEnergy Incorporated (SaskEnergy) Natural gas storage and delivery

Saskatchewan Gaming Corporation (SGC) Entertainment

Saskatchewan Government Insurance (SGI CANADA) Property and casualty insurance

Saskatchewan Opportunities Corporation (SOCO) Research parks

Saskatchewan Power Corporation (SaskPower) Electricity

Saskatchewan Telecommunications Holding Corporation and Saskatchewan Telecommunications (collectively SaskTel) Information and communications technology

Saskatchewan Transportation Company (STC) (Note 10) Passenger and freight transportation

Saskatchewan Water Corporation (SaskWater) Water and wastewater management

Associates and joint ventures (investments in equity accounted investees)

Associates are those entities in which the Corporation has significant influence, but not control over strategic financial and operating decisions. Significant influence is presumed to exist when the Corporation holds between 20.0 and 50.0 per cent of the voting power of another entity. Joint ventures are those entities over whose activities the Corporation has joint control, established by contractual agreement and requiring unanimous consent for strategic financial and operating decisions, and provide the Corporation with rights to the net assets of the arrangement. Associates and joint ventures are accounted for using the equity method and are recognized initially at cost. The Corporation's investment includes any goodwill identified at acquisition, net of accumulated impairment losses. The consolidated financial statements include the Corporation's share of the total comprehensive income and equity movements of equity accounted investees, after adjustments to align the accounting policies with those of the Corporation, from the date that significant influence or joint control commences until the date that significant influence or joint control ceases. When the Corporation's share of losses exceeds its interest in equity accounted investees, the carrying amount of that interest is reduced to Nil and the recognition of further losses is discontinued except to the extent that the Corporation has an obligation or has made payments on behalf of the investee.